

What is Intellectual Property?

- Protects creations of the human mind
- Goal: Encourage societal innovation
- Focuses on intangible assets



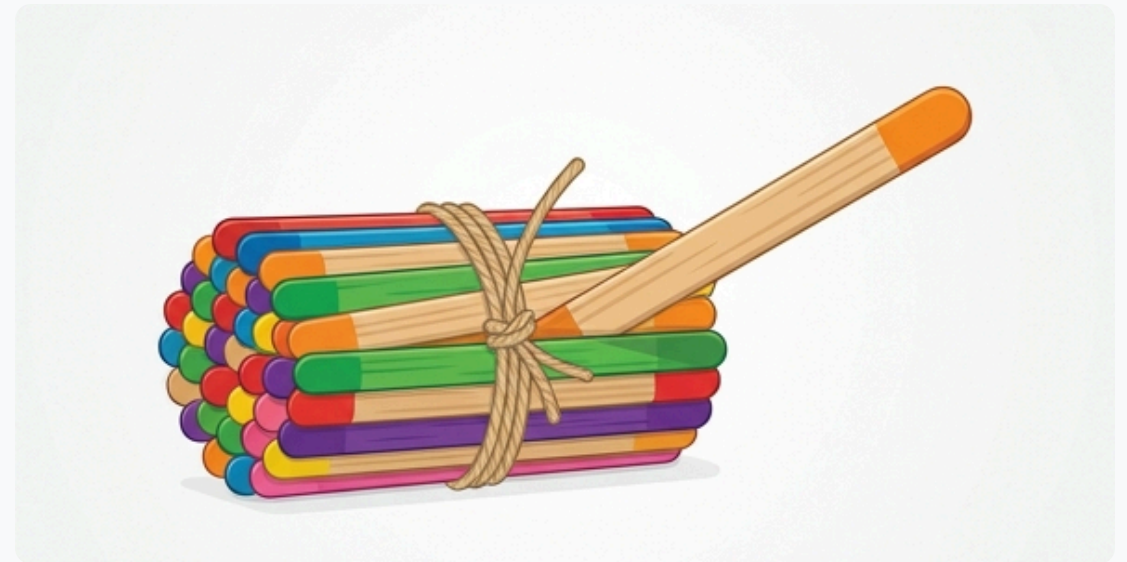
Intellectual Property protects the intangible creations of the mind, just like physical property protects tangible objects.

The 'Bundle of Rights' Model

- IP is not a single, indivisible block
- Think of it as a 'bundle of sticks'
- Rights can be separated and managed



Flawed Mental Model: Treating IP as a single, all-or-nothing unbreakable right.



Accurate Mental Model: IP is a 'bundle of sticks' where individual rights can be separated and handed out.

Breaking Down the Bundle

- Right to Reproduce (Copy)
- Right to Commercialize (Sell)
- Right to Authorize (License)



The right to copy or reproduce the original work.



The right to sell or commercially distribute the work.



The right to license or permit others to use the work under specific terms.

Licensing vs. Selling

- Licensing is NOT transferring ownership
- You keep the bundle, others borrow a stick
- Allows creators to maximize asset value

The IP Bundle in Action

- IP is not a single, indivisible legal right.
- It functions as a 'bundle of sticks'.
- Each 'stick' represents a distinct, controllable right.
- Creators start with ownership of the entire bundle.



A tied bundle of sticks represents the total original intellectual property rights of a creator.

Separating Rights: The Novel Example

- Keep: The right to publish physical books.
- Lease: The audio rights to a narrator.
- Sell: The adaptation rights to a film studio.
- Rights can act completely independently.



Keeping the 'stick' for publishing physical copies.



Leasing the 'stick' for audiobook narration.



Selling the 'stick' for cinematic film adaptation.

What Separating the Bundle is NOT

- Selling one right does not transfer all rights.
- You retain full ownership of the remaining sticks.
- A movie deal does not equal losing book ownership.



Correct: Transferring only a specific right while keeping the rest.



Incorrect: Believing you must surrender the entire IP to make a deal.

Strategic IP Application

- Identify every distinct right your asset holds.
- Strategically decide which to hold, lease, or sell.
- Maximize revenue by treating rights individually.
- Protect the core bundle while expanding access.

What the Bundle of Rights is NOT

- IP ownership is NOT tied to physical objects.
- Physical assets and IP are entirely separate concepts.
- Possession does not equal IP ownership.



The intellectual rights to an artwork hover separately from the physical canvas itself.

Owning the Physical Asset

- Physical purchase transfers tangible property.
- You own the canvas, wood, and paint.
- You can hang it, sell it, or destroy it.
- You do NOT own the creative expression.



Purchasing the physical object transfers ownership of the materials.



You own the canvas, wood, and paint, but nothing more.

The Intangible Rights (A Non-Example)

- Reproduction rights remain with the creator.
- Buying the painting gives no right to copy.
- Printing the art on merchandise is infringement.
- The 'reproduction stick' was never sold.



Owning the painting does not grant the right to manufacture merchandise.



The artist retains the 'stick' representing the right to reproduce the work.

Rule of Thumb: Tangible vs. Intangible

- Tangible property = The physical medium.
- Intangible IP = The bundle of rights.
- Transferring one does NOT transfer the other.
- Always verify if IP rights are explicitly licensed.

Knowledge Check: The Software Scenario

- You develop custom software for a startup.
- You grant permission for internal company use.
- You strictly prohibit them from reselling the code.
- Question: Have you lost your IP rights?



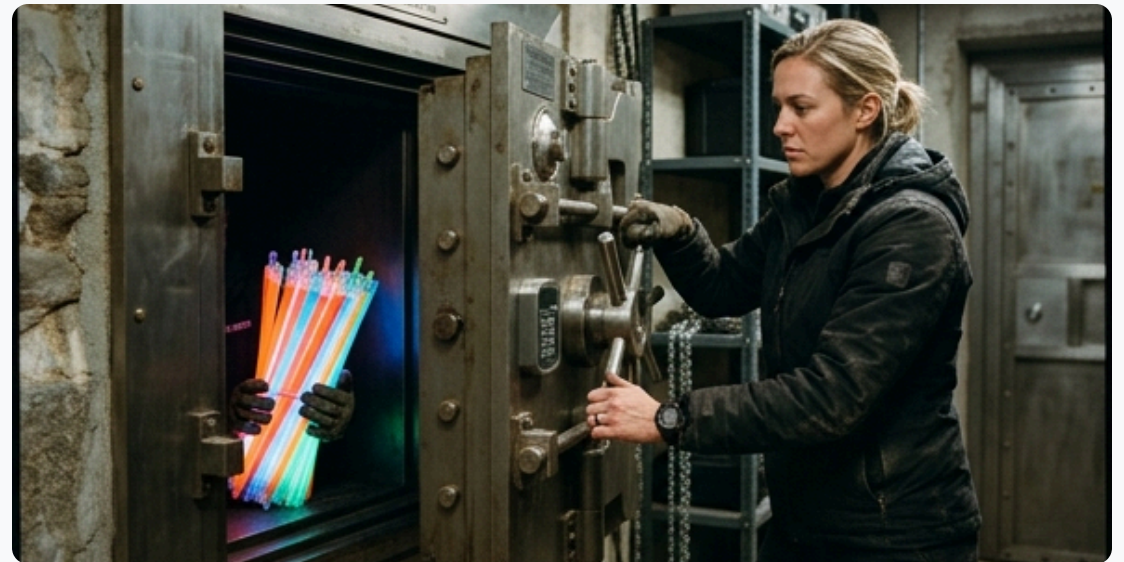
Granting conditional access to a creation does not equal surrendering total ownership.

Licensing a Single 'Stick'

- IP is a bundle of separable "sticks" (rights).
- Given Away: The right to internal use.
- Retained: The right to resell, modify, or copy.
- Result: You remain the IP owner.



Licensing: Handing over just one specific right from your bundle.



Ownership: Securely retaining the remaining rights for yourself.

What Licensing is NOT

- Example: Renting an apartment (Licensing).
- Non-Example: Selling the house (Assignment).
- Licensing is temporary and conditional.
- Assignment permanently transfers all ownership.



Licensing grants limited permission without transferring ultimate ownership.



Assignment is the absolute, permanent transfer of the entire bundle of rights.

Maximizing Value Through Separation

- Distributing rights separately maximizes revenue.
- The same code can be licensed to multiple clients.
- Explicit contracts prevent accidental assignment.
- Retaining core IP secures long-term business leverage.